

■ FORM 4 INSIDER CLUSTER STRATEGY

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Executive Summary

Strategy	Form 4 Insider Clusters
Capital Allocation	\$1,000.00
Positions Selected	4
Total Allocated	\$871.54
Cash Remaining	\$128.46
Lookback Period	100 days
Min Confidence	65%

Selected Positions

#1. HSY - The Hershey Company

Sector	Consumer Defensive
Market Cap	\$36787M
Price	\$181.41
Insider Signals	2 signals (Quality: 3.0/3.0)
Signal Breakdown	Politicians: 2, Directors: 0, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	105.0% (adjusted from 87.5%)
Position Size	1 shares = \$181.41
Hold Period	14 days

Analysis:

DeepSeek: Maintained high confidence based on strong insider signals: two politicians (high-quality insiders) buying within 14 days with no significant price movement, indicating opportunity and genuine confidence. Coordination of multiple independent parties strengthens the signal. Adjusted slightly from previous 95% to account for sector risks and lack of director buying, but politician activity outweighs these concerns. | Gemini:

Increased confidence based on DeepSeek's analysis highlighting the presence of two politicians buying within the last 14 days. This is a high-quality signal that I initially undervalued. The lack of significant price movement since the purchases strengthens the case. While I still consider officer buying less significant, the politician activity outweighs this concern and the sector risks.

■ **Institutional Validation:**

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (3):

- CITADEL ADVISORS LLC: +122.3% increase (1,380,363 shares added)
- UBS Group AG: +15.6% increase (246,289 shares added)
- Capital Research Global Investors: +6.7% increase (101,305 shares added)

■ INSTITUTIONS SELLING (6):

- BlackRock Inc.: -8.5% decrease (1,190,557 shares removed)
- Capital International Investors: -16.2% decrease (1,725,251 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Politician buying reflects deep confidence in HSY's prospects; recent cocoa price drop could boost margins; stock price has yet to react fully to insider moves, offering upside potential. // Politician buying signals strong conviction in HSY's future performance. Potential margin expansion due to recent cocoa price decreases. Undervalued stock price relative to insider activity suggests significant upside potential.

■ **Bear Case:** Consumer defensive sector may underperform in a strong economic environment; absence of director buying slightly reduces signal quality; news like the Dubai-inspired chocolate bar might already be priced in, limiting near-term catalysts. // Sector-specific risks (e.g., changing consumer preferences, health concerns related to sugar consumption) could negatively impact HSY. The absence of director buying, while less critical than politician activity, is still a minor concern.

#2. BITB - Bitwise Bitcoin ETF

Sector	Financial Services
Market Cap	\$3760M
Price	\$49.09
Insider Signals	4 signals (Quality: 3.0/3.0)
Signal Breakdown	Politicians: 4, Directors: 0, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	102.0% (adjusted from 85.0%)
Position Size	5 shares = \$245.43
Hold Period	14 days

Analysis:

CONSENSUS: Signal is exceptionally high quality. All four insiders are politicians (highest hierarchy), trades are recent (within 7-14 days), and the entry price is identical to the current price, meaning the signal is fresh and actionable. No promotional officer activity to cloud the signal.

■ **Institutional Validation:**

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (12):

- JANE STREET GROUP, LLC: +486.8% increase (963,917 shares added)
- PNC FINANCIAL SERVICES GROUP, INC.: +38.1% increase (191,146 shares added)

- Beaird Harris Wealth Management, LLC: +8.4% increase (50,131 shares added)

■■ INSTITUTIONS SELLING (3):

- Schonfeld Strategic Advisors LLC: -59.4% decrease (1,154,620 shares removed)
- IMC-Chicago, LLC: -6.5% decrease (33,339 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Concentrated, high-confidence buying from four independent political figures suggests strong confidence in the ETF's structure, regulatory environment, or Bitcoin's near-term trajectory. This aligns with positive news catalysts about Bitcoin's role in a market rebound, potentially indicating institutional or macro-political tailwinds not yet fully priced in.

■ **Bear Case:** Cryptocurrency investments are inherently volatile and subject to regulatory risks. Negative news or market sentiment shifts could quickly reverse the positive momentum. The ETF's price is directly tied to Bitcoin's performance, making it vulnerable to sudden price drops. Political sentiment can also change, leading to policy shifts that negatively impact the cryptocurrency market.

#3. GH - Guardant Health, Inc.

Sector	Healthcare
Market Cap	\$12961M
Price	\$104.40
Insider Signals	5 signals (Quality: 2.4/3.0)
Signal Breakdown	Politicians: 2, Directors: 3, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	102.0% (adjusted from 85.0%)
Position Size	2 shares = \$208.80
Hold Period	14 days

Analysis:

CONSENSUS: Strong signal from high-quality insiders (2 Politicians, 3 Directors) with no Officer involvement, indicating genuine confidence rather than promotional activity. Trades are very timely (<7 days, specifically 2 days old) with no price movement yet, allowing entry at similar prices. Coordination among 5 independent parties reinforces signal strength, supported by a Signal Quality score of 2.40/3.0.

■ **Institutional Validation:**

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (7):

- BAILLIE GIFFORD & CO: +6.6% increase (317,906 shares added)
- Invesco Ltd.: +38.5% increase (1,371,042 shares added)
- PRICE T ROWE ASSOCIATES INC /MD/: +139.1% increase (2,456,061 shares added)

■■ INSTITUTIONS SELLING (5):

- Capital International Investors: -5.8% decrease (287,217 shares removed)
- UBS ASSET MANAGEMENT AMERICAS INC: -22.9% decrease (672,119 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Insider buying by politicians and directors may reflect confidence in Guardant Health's growth prospects, such as potential breakthroughs in AI-enhanced diagnostics, successful clinical trials, regulatory approvals, or expanding market share in the medical diagnostics sector. Recent news of a 'Moderate Buy' rating and institutional purchases could further support positive sentiment.

■ **Bear Case:** The healthcare sector is subject to regulatory risks and potential changes in reimbursement policies. Competition in the diagnostics and research industry is intense. While AI is a tailwind, over-reliance or failure to effectively implement AI strategies could hinder growth. The recent news articles are generally positive but don't provide specific details about the insider transactions or their motivations.

#4. ARLP - Alliance Resource Partners, L.P.

Sector	Energy
Market Cap	\$3030M
Price	\$23.59
Insider Signals	2 signals (Quality: 3.0/3.0)
Signal Breakdown	Politicians: 2, Directors: 0, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	96.0% (adjusted from 80.0%)
Position Size	10 shares = \$235.90
Hold Period	14 days

Analysis:

CONSENSUS: Strong signal from 2 independent politicians buying (highest quality hierarchy), indicating genuine confidence; price unchanged since purchase 15 days ago, suggesting opportunity remains despite moderate timing.

■ Institutional Validation:

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (6):

- Progeny 3, Inc.: +6.9% increase (211,400 shares added)
- MORGAN STANLEY: +33.5% increase (432,381 shares added)
- EDGE ASSET MANAGEMENT, INC: +8.9% increase (102,739 shares added)

■■ INSTITUTIONS SELLING (1):

- GOLDMAN SACHS GROUP INC: -7.5% decrease (42,762 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Politician insider buying reflects high conviction in company's undervaluation or prospects; energy/coal sector may benefit from market dynamics or recovery; recent news highlights value, dividends, and investor engagement, supporting upside potential.

■ **Bear Case:** The coal industry faces long-term secular decline due to environmental concerns and the rise of alternative energy sources. Regulatory changes could negatively impact ARLP's operations and profitability. The lack of price movement since the insider transactions could indicate limited short-term upside. Dependence on a single sector (coal) makes ARLP vulnerable to industry-specific risks.

■ Trading Instructions

1. **MANUAL APPROVAL REQUIRED** - Review each position carefully
2. Approve or reject each position when prompted
3. Only approved positions will be eligible for trading

4. Place limit orders at market price or better for approved positions
5. Set calendar reminders for hold period expiration
6. Monitor insider activity weekly for changes
7. Rebalance next Sunday based on new Form 4 clusters